

Alphabet Inc.

GOOGL NASDAQ

Buy	\$318.80 ▼ 6.81%	12M Price Target \$385.00	52-Week Range \$187.82 – \$408.61	Market Cap \$3.89T
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GOOGL: Capex Panic Overdone, AI Monetization Still Real

WHAT HAPPENED

- GOOGL dropped almost 7% after earnings — not because the quarter was bad, but because Alphabet cranked up its capex (money spent on AI data centers, chips, buildings) guidance again. Wall Street is suddenly worried Big Tech is burning cash faster than AI can pay them back. Add oil hitting \$100 (inflation fear) and you get a classic "sell the expensive stuff" day.
- Options desks are actually leaning BULLISH into this — the unusual call buying at \$320 and \$325 strikes tells me some big money is betting this dip gets bought within days.

WHY IT MATTERS

The market is treating this like a repeat of Meta's 2022 capex freakout — but here's the thing: Google's core Search and Cloud businesses are already profitable at scale, so the "will this ever pay off" question is much less scary than it sounds. This selloff probably means we're at peak "AI capex anxiety" — historically that's when the stock sets up for a rebound once one clean earnings print shows AI actually driving revenue (Cloud growth is the tell). Watch for a rotation back once oil cools and Treasury yields settle — mega-cap tech gets sold first in inflation scares and bought back first when the panic fades. Bottom line: the business didn't break today, the narrative did.

POLICY & POLITICAL WATCH

The big overhang is still the DOJ antitrust case — remedies phase is playing out, and the current administration has signaled it wants "structural" fixes (potentially forcing Google to share search data or unwind Chrome). BUT — and this is underappreciated — the White House's AI Action Plan and executive orders pushing "American AI dominance" actually favor Alphabet as a national champion, which cuts against breaking them up. Also watch the EU Digital Markets Act enforcement and any new tariff moves on semiconductors — Google buys tons of Nvidia chips and builds its own TPUs, so chip tariffs would raise that already-scary capex bill even higher.

IS IT EXPENSIVE?

At ~32x forward earnings, you're paying \$32 for every \$1 of profit Alphabet is expected to make next year — that's actually reasonable for a company growing double digits with 30%+ margins, and cheaper than Microsoft or Nvidia. The stock is at 59% of its 52-week range, meaning the froth is coming out. If you believe Cloud keeps growing 30%+ and Search doesn't get gutted by AI competitors, today's price is a discount, not a warning.

WHAT COULD GO WRONG

Langston's | Equity Research Coverage

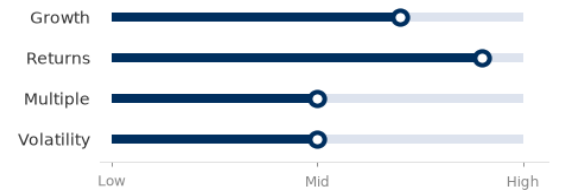
AI-Generated Pre-Market Brief | 2026-07-23 14:48 UTC

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Key Data

Price (USD)	\$318.80
12M Price Target	\$385.00
Upside / (Downside)	+20.8%
Market Cap	\$3.89T
FY2026E Revenue	\$415M
FY2027E Revenue	\$470M
FY2026E EPS	\$9.85
FY2027E EPS	\$11.40
Fwd P/E	32.4x

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$345.00	\$325.00	\$295.00
6 Months	\$380.00	\$350.00	\$280.00
1 Year	\$425.00	\$385.00	\$270.00
2 Years	\$500.00	\$440.00	\$260.00
5 Years	\$700.00	\$550.00	\$300.00
10 Years	\$1100.00	\$800.00	\$350.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Energy (+1.9%) is on fire with oil at \$100 — geopolitical risk premium plus tight supply. Industrials also catching a bid on infrastructure and defense spending momentum.

COOLING OFF: Tech is the funding source today — capex fears in Big Tech plus rising yields make growth stocks less attractive. Healthcare drifting on policy uncertainty.

ROTATION WATCH: Money is fleeing "long duration" growth (tech, anything unprofitable) and hiding in energy and hard assets as inflation fears reignite. This is a macro trade, not a fundamentals trade — which means it can reverse quickly.

RELATED PLAY: If you believe AI capex spending is real (even if painful for GOOGL near-term), the pick-and-shovel plays win — Nvidia, Broadcom, and data center REITs like DLR and EQIX are the direct beneficiaries of Google's spending spree.

WHO'S WINNING IN THIS SPACE?

- XOM (Exxon Mobil): Energy names ripping on \$100 oil — direct beneficiary of the same macro fear hitting tech.
- CAT (Caterpillar): Industrials winning on infrastructure spending and reshoring themes.

GOOGL CONTEXT: GOOGL is LAGGING mega-cap peers today because it went first with the capex reveal — META and MSFT report soon, and if they show similar spending, the whole group gets re-rated together. If they show restraint, GOOGL gets singled out further. Watch next week closely.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — Cautiously bullish. The business is fine, the reaction is emotional, but the DOJ overhang is real and I can't call it a table-pounder until that clears.

POSITION SIZE: 4-6% — big enough to matter, small enough that a bad DOJ ruling doesn't wreck your year.

ENTRY POINTS: Scale in between \$310-320. If we get another macro fear day pushing it to \$295-300, back up the truck.

TIME HORIZON: 12-24 months — you're waiting for one clean earnings print showing AI monetization AND the DOJ remedy to land softer than feared.

WHEN TO BAIL: If Search ad revenue goes negative year-over-year, if a court orders Chrome/Android divestiture, or if Cloud growth drops below 20% — any of those and the story changed.

HEDGING: Simplest hedge is just to size it right and hold cash for lower entries. If you want protection, buy cheap out-of-the-money puts 6 months out — think of it as insurance that costs 1-2% of your position but caps your downside if DOJ news hits.